COURSE

Leaving Certificate Business (current syllabus)

Business and the economy

Unit 6: Domestic environment · 6.4 Inflation, interest rates, tax and grants; Unit 7 · 7.1 International trade

Revision for Unit 6: Domestic environment: each firm works it out on its own deals, in euros.

Class **Leaving Certificate Business** Topic **Business and the economy**

THE LESSON

Setup 2 min

Round 1 Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Passing on the rise	TASK 2 Euro and your firm

Round 2 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 US cars in euros	TASK 4 Loan interest rise	B2B deal

Round 3 Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 Fixed or variable	TASK 6 Rates: two effects	B2B deal

Final questions 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

The euro falls, so your imported cars cost more. Your buyers are very price sensitive.

If you pass on the full rise, what is most likely?

PICK ONE

- ○ Revenue rises with the higher price
- ✔ **Sales fall a lot and revenue falls**
- ○ Sales stay the same
- ○ Your costs fall in euros

Why: With elastic demand, a higher price cuts sales by more, so revenue falls.

Task 2

ROUND 1

You import cars from Britain and sell some in Northern Ireland. The euro rises against sterling.

Which two effects are most likely?

PICK TWO

- ✔ **Imports cost you less**
- ○ Imports cost you more
- ○ Northern dealers buy more from you
- ✔ **Your cars cost more in Northern Ireland**
- ○ Your costs do not change

Why: A strong euro: imports cheaper, exports dearer.

Task 3

ROUND 2

Three cars on offer from American dealers, priced in dollars.

Order by cost in euros, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **$23,100 at $1.05 to the euro**
2. **$30,000 at $1.25 to the euro**
3. **$27,500 at $1.10 to the euro**

Why: €22,000, €24,000 and €25,000.

Task 4

ROUND 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Stock loan	**€30,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

METHOD

Rise = loan × (interest now – interest before)

€30,000 × (10% − 7%) = €900

Why: Higher rates raise the cost of your own borrowing too.

Task 5

ROUND 3

Your €100,000 loan: variable 6% now, forecast 9% after six months. The bank offers a fixed 7%.

Which costs less over the year, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Fix at 7%**
- ○ Stay on the variable rate

Why: Variable: €3,000 + €4,500 = €7,500 for the year; fixed at 7%: €7,000.

Task 6

ROUND 3

Interest rates rise sharply. Many buyers use finance, and your stock loan has a variable rate.

Which pair of effects is most likely?

PICK ONE

- ○ Fewer buyers, cheaper stock loans
- ✔ **Fewer buyers, dearer stock loans**
- ○ More buyers, cheaper stock loans
- ○ More buyers, dearer stock loans

Why: Dearer credit puts buyers off and raises the interest on your stock loan.

Final questions

6
questions for each pupil

50
questions in the Irish set

0
of them on business and the economy

The Irish question set has no questions about business and the economy yet. The game draws 6 from the lesson topic the teacher picks.